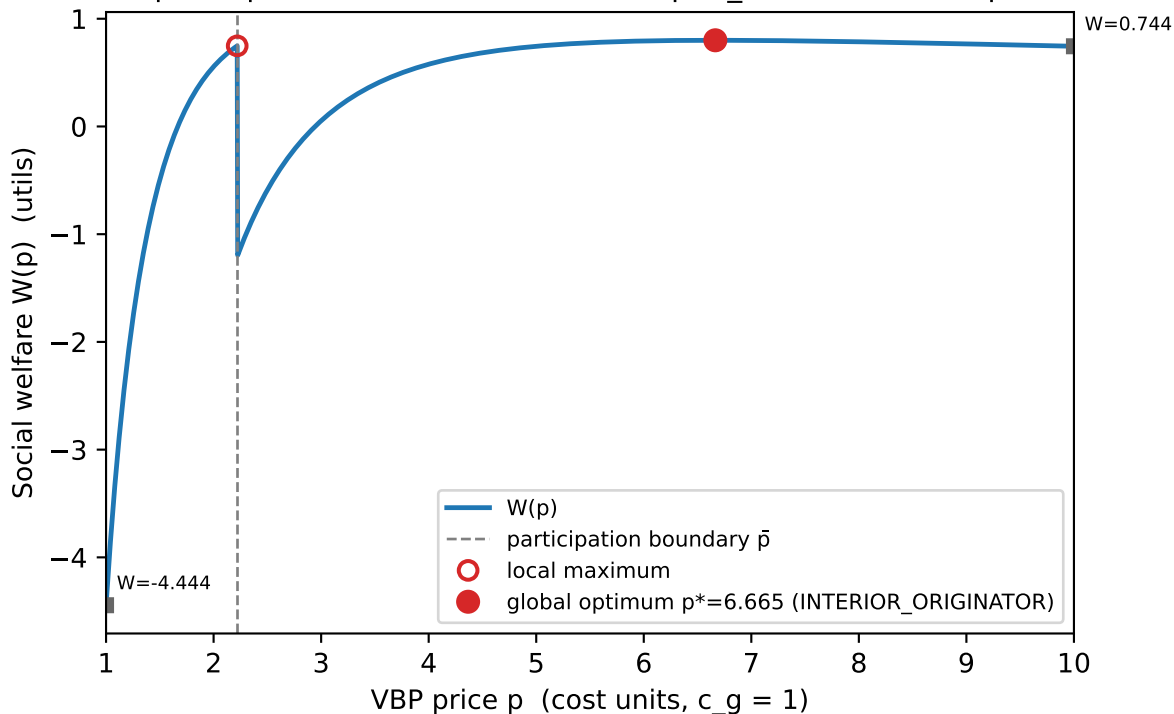


CRRA case $u(q)=2\sqrt{q} \Rightarrow D(s)=s^{-2}$: welfare kink at $\bar{p}$; E_I monotone $\Rightarrow$ expenditure corner



Numerical example — NOT A PROOF. Feasible interval $[c_g, 10]$. Baseline (illustrative): $N=1$, $c_g=1$, $c_o=2$, $F=0.5$, $V_o=0.8$, $\text{lam}=0.7$